

VLN · FY2026 Q1

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Valens Semiconductor Ltd. · 24 turns · 10 participants

CAST (IN ORDER OF APPEARANCE)**Operator**

Operator

Guy Nathanson

Chief Financial Officer

Dave Storms

Analyst, StoneGate Securities

Way Mach

Analyst, Oppenheimer & Co.

Yoram Zeinger

Chief Executive Officer

Mikey Benary

Investor Relations

Guy Nathanson

Chief Financial Officer

Neil Young

Analyst, Needham & Company

Yoram Zeinger

Chief Executive Officer

Yoram Zeinger

Chief Executive Officer

OPERATOR Operator

Thank you for standing by and welcome to the Valen Semiconductor First Quarter 2026 Financial Results Conference Call. All lines have been placed on mute to prevent any background noise. After the speaker's remarks, there will be a question and answer session. If you would like to ask a question during this time, simply press star followed by the number one on your telephone keypad. If you would like to withdraw your question, again, press star one. Thank you. I'd now like to turn the call over to Mikey Benary, Investor Relations. You may begin.

MIKEY BENARY Investor Relations

Thank you and welcome everyone to Valen Semiconductors' first quarter 2026 earnings call. With me today are Yoram Zeinger, Chief Executive Officer, and Guy Nathanson, Chief Financial Officer. Earlier today, we issued a press release that is available on the investor relations section of our website under investors.valence.com. As a reminder, today's earning call may include forward-looking statements and projections which do not guarantee future events or performance. These statements are subject to the safe harbor language in today's press release. Please refer to our annual report on Form 20F, filed with the FEC on February 25, 2026, for a discussion of the factors that could cause actual results to differ materially from those expressed or implied. We do not undertake any duty to revise or update such statements to reflect new information, subsequent events, or changes in strategy. We will be discussing certain non-GAAP measures on this call, which we believe are relevant in assessing the financial performance of the business, and you can find reconciliation of these metrics within our earnings release. With that, I will now turn the call over to Yola.

YORAM ZEINGER Chief Executive Officer

Thank you, Mikey. Hello, everyone, and thank you for joining us. During our last call, we discussed how microeconomic conditions and slow pace of technology adoption could affect our business in 2026. And our first quarter was in line with our expectations. Nevertheless, we are pleased to report that our revenues exceeded the top end of our guidance at \$16.9 million. Gap gross margin for the first quarter came at 62.2%, well above the guidance. Our adjusted EBITDA was a loss of \$5.5 million, a smaller than anticipated loss compared to our guidance. I'd like to highlight some of our key achievements in Q1, and I'll start with audio video. We continue to see strong adoption of one of our newest chips, the VS3000, as the industry trends towards high resolution video. As a reminder, this chip is the only one on the market that

can extend uncompressed HDMI 2.0 over widely used category cables. In Q1, we saw additional products hit the market based on this chip. One exciting example came from a leading AV manufacturer, Extron, which released to the market new metric switches built for premium collaboration spaces, what they're calling the DTP3 cost point 42 series. Our chip is the cornerstone technology underpinning this product, supporting uncompressed video, audio, and controls up to 330 feet. This is great news for Valence, as the BS3000 is the most advanced HD-based chip we offer, and is a pillar of the growth opportunity in our core audio-video market. We are also seeing healthy traction with our newest VS6320 chip. As a reminder, this is the first and only high-performance USB 3.2 extension solution built on a dedicated chip. Continuing the momentum, in Q1, we saw another major AV manufacturer release to the market a product based on the VS6320. We are encouraged by the continued adoption of this innovative chip as we move further into 2026. Both chips features notably at our booth during key first quarter events, CES in January and ISE in February. Across both events, our customers and partners were enthusiastic about our technology demonstrations and the innovations our chips can enable. innovations like multi-camera extension over a single cat cable single box extension of uncompressed 4k video and usb3 streamlined infrastructure supporting multiple cameras and sources and full room conferencing set up with usbc to usbc extension we look forward to replicating the success of those events at additional audio video focused show around the world, including the upcoming Infocomm International show in Las Vegas. I'd like to turn now into the automotive industry. Our opportunity in automotive is dominated by the VA7000 chipset, which offers high-performance connectivity of cameras and radars used in ADAS and autonomous driving. The VA7000 is the first chipset on the market to comply with the MIPI AFI standard. Our ability to promote this chipset hinges not only on its clear technological advantages for Williams, but also in the compliance with the standard. As you know, the automotive industry has been actively working to move away from proprietary solutions driven by concerns around vendor lock-in and supply chain uncertainty. The defining characteristic of a true standard is interoperability. that AFI-compliant components from different suppliers can work together seamlessly. In Q1, we demonstrated exactly that at AutoChina, a valence de-signalizers connected to AFI signalizers from two other service vendors. This marks the first free company demonstration of any interoperable service connectivity solution anywhere in the world for any service standard. This is not just technical milestones. It directly reinforces one of the core value propositions of our AFI offering, eliminating vendor lock-in, reducing supply chain risk, and enabling a more flexible multi-vendor ecosystem for the OEMs. Of course, we continue to participate in several other evaluation processes at various stages with multiple OEMs. With that, I would like to turn the call to Guy to discuss our financial performance in more detail.

GUY NATHANSON Chief Financial Officer

Thank you, Yaron. I will start with our first quarter of 2026 results and then provide our outlook for the second quarter of 2026. We achieved quarterly revenues of \$16.9 million, which exceeded our guidance of between \$16.3 million to \$16.7 million. This compares to revenues of \$19.4 million in Q4 2025 and \$16.8 million in Q1 2025. The cross industry business or CIB accounted for \$11 million or approximately 65% of total revenues while automotive contributed \$5.9 million or approximately 35% of total revenue this quarter. This compares to Q4 2025 revenues of \$13.9 million from CIB and \$5.5 million from automotive, which represented approximately 70% and 30% of total revenues respectively. That also compares to Q1 2025 revenues of \$11.7 million from the CIB and \$5.1 million from automotive, representing 70% and 30% of total revenues, respectively. Q1 2026 gross profit was \$10.5 million compared to \$11.7 million in the fourth quarter of 2025 and compared to \$10.6 million in the first quarter of 2025. Q1 2026 gross margin was 62.2% compared to our guidance of between 57% to 59%. This compares to a Q4 2025 gross margin of 60.5% and Q1 2025 of 62.9%. On a segment basis, Q1 2026 gross margin from the cross-industry business was 70.8% and gross margin from automotive was 46.2%. This compares to a Q4 2025 gross margin of 66.4% and 45.9%, respectively, and a Q1 2025 gross margin of 69.1% and 48.4%, respectively. The increase in the gross margin of the CAB compared to Q4 2025 was mainly due to product mix. Non-GAAP gross margin in Q1 was 65.2%,

which compares to 63.9% in Q4 2025 and 66.7% in Q1 2025. Operating expense in Q1 2026 totaled \$19.4 million compared to \$20.9 million at the end of Q4 2025 and \$20 million in Q1 2025. Research and development expense in Q1 totaled \$10.3 million compared to \$11.1 million in Q4 2025 and \$10.6 million in Q1 2025. FG&A expense in Q1 were \$9.4 million compared to \$10.1 million in Q4 2025 and \$9.3 million in Q1 2025. Gap net loss in Q1 was \$8.3 million compared to a net loss of \$8.8 million in Q4 2025 and a net loss of \$8.3 million in Q1 2025. Adjusted EB-9 Q1 was a loss of \$5.5 million below the guidance range of a loss between \$7.9 million and \$7.5 million. This compares to an adjusted EBITDA loss of \$4.3 million in Q4 2025 and an adjusted EBITDA loss of \$4.3 million in Q1 2025. Gap loss per share in Q1 was \$0.08 compared to a gap loss per share of \$0.09 for Q4 2025 and a gap loss per share of \$0.08 for Q1 2025. Non-GAAP loss per share in Q1 was \$0.05 compared to a loss per share of \$0.04 in Q4 2025 and a loss per share of \$0.03 in Q1 2025. The difference between GAAP and non-GAAP loss per share was mainly due to stock-based compensation and depreciation and amortization expense. Now, turning to the balance sheet, we ended Q1 with cash, cash equivalents, and short-term deposits totaling \$86.1 million. And know that this compares to \$92.6 million at the end of Q4 2025 and \$112.5 million at the end of Q1 2025. Our working capital at the end of the first quarter was \$91.3 million, compared to \$95.7 million at the end of Q4 2025, and \$119.8 million at the end of Q1 2025. Our inventory as of March 31, 2026, was \$10.9 million, an increase from \$10.1 million on December 31, 2025, and \$10.9 million on March 31st, 2025. Now, I would like to provide our guidance for the second quarter of 2026. We expect Q2 revenues to be in the range of \$17.2 to \$17.6 million. We expect gross margin for Q2 to be in the range of 60% to 62%. And we expect adjusted EBITDA loss in Q2 to be in the range of \$4.9 to \$4.4 million loss. As a reminder, our full year guidance is unchanged between \$75 to \$77 million. Before turning the call back to Yoram, I would like to take a moment to share that I will be leaving Valence on July 13 to pursue new opportunities. I would like to take this opportunity to thank the exceptional team of Valence for professionalism and dedication. Valence has incredible technology that is in the high demand across industries, and I'm confident that Yoram and the executive team will take the company to new heights. I'll now turn the call back to Yoram for his closing remarks before opening the call for Q&A. Thank you, Guy.

YORAM ZEINGER Chief Executive Officer

On a personal note, I'd like to thank you for your significant contribution to Valence over the recent years. I enjoyed working with you, and I hope our paths cross again in the future. I will note that the company has initiated a surge for replacement, and we look forward to welcoming them to the team in due course. I believe that Valencia is well positioned for success, leveraging our superior technology and robust balance sheet, focusing on our core markets. I'm committed to driving meaningful growth opportunities as we move further into 2026 and beyond. With that, I'll now open the call to answer your questions. Operator?

OPERATOR Operator

Thank you. We will now begin the question and answer session. If you would like to ask a question, please press star 1 in your telephone keypad. If you would like to withdraw your question, simply press star 1 again. Your first question comes from a line of Quinn Bolton from Needham and Company. Your line is open.

NEIL YOUNG Analyst, Needham & Company

Hey, everyone. This is Neil Young. I'm for Quinn Bolton. Thanks for letting us ask some questions. So the first question I wanted to ask was, Could you touch on what drove the quarter-over-quarter decline in CIB? And within auto, how much of the strength was sustainable end demand versus, you know, timing, inventory, or customer ordering patterns? Was the auto upside still largely driven by Mercedes, you know, or are you starting to see contribution from AFI, ecosystem activity, Mobileye-related programs, or any other customers? And then I have a follow-up. Thank you.

YORAM ZEINGER Chief Executive Officer

Thanks for the question. So I'll start off by addressing the CAB result. When we kind of shared our guidance for the quarter, we said that we anticipate that there's going to be somewhat slowness in Q1 due to seasonality and a very strong Q4. That was actually the case. I want to reiterate that the guidance for the year is still remaining strong, so it has nothing to do with the demand and the anticipated growth in CIV over the year. Regarding the automotive, everything that you said regarding Mercedes is actually true. It has to do with the demand from Mercedes related to their sales of cars and therefore the uptake comes from Mercedes. Regarding the A5 projects, those are going to kind of factor in in 2027. I just want to make a comment that those projects are advancing well aligned with the timeline, so we feel very confident that those wins would obviously impact our kind of revenues in coming years.

NEIL YOUNG Analyst, Needham & Company

Great. Thanks. I did want to ask about the four-year guide. You're guiding 2Q to 17.4 at the midpoint, puts first half revenue at \$34.3 million. And you're talking about the full-year guide, midpoint of 76. I would say that implies a meaningful step up in the second half. I guess what gives you the confidence in a second-half ramp, and how should investors think about the acceleration? Should it primarily come in CIB, continued automotive strength? Any comment would be helpful. Thanks.

YORAM ZEINGER Chief Executive Officer

So let me reiterate this. Q um second half of 2026 is going to be uh way stronger than than than the first half our confidence in that has to do with the design designing or design wins and then designing into our customers product we have a visibility to launch of those of those products throughout the year and therefore the confidence is reassured by actually monitoring how those products are going to hit the market and actually drive the growth in Q3 and Q4.

OPERATOR Operator

Sorry? My apologies. Your next question comes from a line of Rick Schaefer from Oppenheimer. Your line is open.

WAY MACH Analyst, Oppenheimer & Co.

Hi, this is Way Mach on the line for Rick. Thanks for taking the question, and best of luck to all your next endeavors. For my first question, I wanted to follow up on CIB. It looks like it was down, and you mentioned it looks like it was going to be some digestion due to some demand that was pulled into 4Q. So how do you feel about the digestion so far in 1Q? Do you think that it has bottomed? Do you expect the correction to persist into 2Q? Or do you see CIB returning to growth in 2Q?

YORAM ZEINGER Chief Executive Officer

Thanks. If I kind of heard your question, you're speaking about growth with CIB. CIB would grow in Q2 as we anticipate the company to grow according to the guidance provided for Q2, and it would accelerate during Q3 and Q4 even further. We kind of see around 5% growth for CIB across the year. So, yes, the growth is there, and it's going to be reflected in the upcoming quarters.

WAY MACH Analyst, Oppenheimer & Co.

great appreciate it thank you for that um as for my follow-up um your a5 technology was selected by mipi as the standard for automotive connectivity um and there's been a lot of talks about across the industry on physical ai and i noticed that um mippy the mippy alliance they launched their physical ai birds of feather group for human noise and they listed you guys as a member So I was wondering if you can talk about your involvement with this, and are you aiming to establish the same goal of using your connectivity standard for physical AI?

YORAM ZEINGER Chief Executive Officer

So thank you for the question. So as you know, Valencia is a company that believes in standards in order to free the industry to interoperate between different vendors and actually prevent lock-in with one specific with one specific vendor. So we've been promoting this with AFI for quite some time, and we have reported that we've done interoperability tests in AutoChina just to prove the strength and the power of actually driving standard-based solutions. That being said, as being members of NEPI, we participate in different forms that are kind of introduced by MIPI. Birds of Feathers suggests that this is an initial view towards physical AI around robotics and whatnot. So as a very active member in MIPI, our EVP of product, Ido Cohen, is chairing this committee in order to have the leaders of the industry come together, bring their heads together in order to see what will be the right way forward. So, yes, we are all involved in that. And I think it just suggests that we're not just, you know, active in audio, video and automotive. We are involved in other industries.

WAY MACH Analyst, Oppenheimer & Co.

Great.

OPERATOR Operator

Thank you. Again, if you'd like to ask a question, press star 1 in your telephone keypad. Your next question comes from a line of Dave Storms from StoneGate. Your line is open.

DAVE STORMS Analyst, StoneGate Securities

Good morning. Thank you for taking my question. I wanted to maybe go back to CIB again. You mentioned that product mix drove the margin higher sequentially. Is this durable given the consolidated sequential step back you're expecting in the guide, or how should we think about that going forward?

GUY NATHANSON Chief Financial Officer

No, I think that was kind of a specific product mix. I think that, generally speaking, it's in line with what we said a few months ago about the long-term goals of the CAB. And it's slight increase versus the last quarter. And it looks like it is in line with our long-term goals.

DAVE STORMS Analyst, StoneGate Securities

Understood. Thank you. And then maybe just a macro question. Are tariffs maybe still the main headwinds they are facing or do some of these, uh, conflicts in Iran pose additional, you know, charges for shipping or materials? How should we think about, uh, maybe current macro environment?

YORAM ZEINGER Chief Executive Officer

So, um, we currently don't see any effect of Paris, you know, this has been going on for a while now. So I don't think, you know, us being, us being, uh, Commentating on tariffs is something that we could add value to this discussion. Obviously, supply chain is being a challenge due to increase of demand for AI and memory in silicon. Just want to make sure that the message comes across. We don't see any risks in our ability to meet our targets for the year. And therefore, you know, it's basically staying on top of the demand for our products and supplying the demand that is being created by our customers for the year and for the coming years.

OPERATOR Operator

And there are no further questions at this time. I will now turn the call back over to Yoram Selinger for closing remarks.

YORAM ZEINGER Chief Executive Officer

I would like to thank you all for joining us today for our first quarter 2026 earning call and for your continued support and interest in Valence Semiconductor. Hope to meet you again in our next earning call. Thank you.

OPERATOR Operator

This concludes today's conference call thank you for your participation you may now disconnect.